

		categories, and further identifies specific assets to the extent known to Plaintiff, including real property owned by Defendant Sanghavi, which Plaintiff described using the property's legal description. (See RJN, Ex. 1.) Plaintiff is to post a statutory undertaking of \$10,000. (Code Civ. Proc. § 489.220(a).) Plaintiff to give notice.
21	22-01241813 <i>Shady Bird Lending, LLC vs. The Source At Beach, LLC</i>	1) Motion to Compel Answers to Form Interrogatories 2) Motion to Compel Answers to Special Interrogatories • OFF CALENDAR
22	23-01368247 <i>Gleason vs. Keystone Pacific Property Management LLC</i>	Motion for Writ of Mandate Petitioner Badri Gleason's unopposed Petition for a Writ of Mandate ordering respondent Keystone Pacific Property Management LLC to permit Petitioner's Director Inspection of the Monarch Point Homeowners' Association books and records is GRANTED. "Every director shall have the absolute right at any reasonable time to inspect and copy all books, records and documents of every kind and to inspect the physical properties of the corporation of which such person is a director and also of its subsidiary corporations, domestic or foreign. Such inspection by a director may be made in person or by agent or attorney and the right of inspection includes the right to copy and make extracts." (Cal. Corp. Code § 1602.) "Upon refusal of a lawful demand for inspection, the superior court of the proper county, may enforce the right of inspection with just and proper conditions or may, for good cause shown, appoint one or more competent inspectors or accountants to audit the books and records kept in this state and investigate the property, funds and affairs of any domestic corporation or any foreign corporation keeping records in this state and of any subsidiary corporation thereof, domestic or foreign, keeping records in this state and to report thereon in such manner as the court may direct." (Cal. Corp. Code § 1603(a).) "Unlike director inspection rights in other states, '[t]he California statutory scheme does not impose a "proper purpose" requirement' [Citations.] Thus, [petitioner] was not required in his moving papers to articulate a proper purpose for the inspection reasonably related to his interests as a director. He merely needed to show that he was a director and that he made a demand for inspection, which was refused. (§§ 1602, 1603.) [¶] When [petitioner] made that showing, the burden shifted to [respondent] to show why the inspection should be curtailed by 'just and proper conditions.' [Citations.]" (<i>Fowler v. Golden Pac. Bancorp, Inc.</i> (2022) 80 Cal.App.5th 205, 217.)

“[D]ecisional authority establishes that a director’s right to inspect documents is subject to exceptions. [Citation.] While the ‘absolute right’ to inspect documents is the general rule in California, courts have held that the literal meaning of the words of the statute may be disregarded where necessary to avoid absurd results.” (*Fowler, supra*, 80 Cal.App.5th at 218.) For example, in *Chantiles v. Lake Forest II Master Homeowners Assn.* (1995) 37 Cal.App.4th 914, 918, the appeals courts held that the “absolute” right of a homeowners’ association director to access records may be limited to preserve the constitutional rights of members to keep their voting decisions private. Further, courts may limit inspection rights when a director intends to misuse those rights to harm the corporation. (*Havlicek v. Coast-to-Coast Analytical Services, Inc.* (1995) 39 Cal.App.4th 1844, 1852, 1855-56.) When the evidence shows an unfettered inspection will result in a tort against the corporation, the trial court may “exercise its broad discretion under section 1603, subdivision (a) to fashion a protective order imposing just and proper conditions on the inspection.” (*Id.* at p. 1856.) A court may also place restrictions on a director’s access to corporate records when there is evidence the director intends to use the documents to commit a tort against the corporation. (*Saline v. Superior Court* (2002) 100 Cal.App.4th 909, 914.) Further, in *Tritek Telecom, Inc. v. Superior Court* (2009) 169 Cal.App.4th 1385, the court held the director’s inspection rights were limited “because the director’s loyalties [were] divided and documents obtained by a director in his or her capacity as a director could be used to advance the director’s personal interest in obtaining damages against the corporation.” (*Id.* at p. 1391.) The court concluded that “a corporate director does not have the right to access documents that are covered by the attorney-client privilege and were generated in defense of a suit for damages that the director filed against the corporation.” (*Id.* at p. 1392.)

Here, Petitioner has shown that she is currently a member of the board of directors of Monarch Point Homeowners Association. (B. Gleason Decl., ¶ 5.) Petitioner made a demand to Keystone Pacific Property Management LLC (“Keystone”) which is the current managing agent of the Monarch Point Homeowners Association to inspect the records of the corporation, however, Keystone has refused to provide a date and time for director inspection without a directive from the board of directors. (B. Gleason Decl., ¶¶ 6-10.)

The burden shifts to the Respondent to show why the inspection should be curtailed by “just and proper conditions.” Respondent has not opposed the Motion. Therefore, the Motion is GRANTED.

Respondent is ORDERED to permit Petitioner’s Director Inspection of the Monarch Point Homeowners’ Association books and records located at 240 Commerce, Irvine, CA 92602, except for any documents or other information that were generated in defense of BADRI GLEASON’s

		cross-complaint Case No. 30-2022-01241773-UC-BC-CJC, no later than 7 days of the notice of this order. Petitioner to give notice.
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